

SMID BREAKOUT SCANNER

MARKET CLOSE

August 13, 2026 | 03:12 PM ET

15 setups identified | 3 A-Grade | 6 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (6)	C - Watch List (6)
TBBB	ARX	GDS
STRZ	AVAH	HLIT
AEBI	NOMD	ASMB
	BIRK	AMPY
	ZIM	EROC
	MH	BTGO

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	TBBB	BBB Foods Inc.	Discount Retail	\$49.31	+16.6%	\$5.9B	61M	+33.3	99%	Post-earnings breakout
A	STRZ	Starz Entertainm	Streaming Media	\$28.44	+13.7%	\$0.5B	12M	+40.5	87%	Post-earnings breakout
A	AEBI	Aebi Schmidt Hol	Industrial Machin	\$13.74	+5.8%	\$1.1B	37M	+23.6	86%	Earnings reported toda
B	ARX	Accelerant Holdi	Insurance Special	\$19.47	+43.0%	\$4.2B	47M	+51.1	64%	Earnings beat today dr
B	AVAH	Aveanna Healthca	Home Healthcare	\$11.39	+25.9%	\$2.5B	87M	+64.0	100%	Earnings today driving
B	NOMD	Nomad Foods Limi	Consumer Staples	\$12.03	+5.5%	\$1.7B	110M	+20.4	76%	Earnings today driving
B	BIRK	Birkenstock Hold	Branded Apparel	\$41.38	+12.6%	\$7.6B	54M	+20.8	77%	Earnings today driving
B	ZIM	ZIM Integrated S	Container Shippin	\$27.06	+7.1%	\$3.3B	111M	+1.1	90%	Technical breakout ahe
B	MH	McGraw Hill, Inc	Ed-Tech	\$13.24	+14.1%	\$2.5B	25M	+10.2	74%	Earnings today driving
C	GDS	GDS Holdings Lim	Data Centers Chin	\$34.90	+6.6%	\$7.0B	119M	-26.3	72%	Earnings today with 6.
C	HLIT	Harmonic Inc.	Video Infrastruct	\$13.25	+10.4%	\$1.4B	102M	-5.0	75%	10.4% move on 4.5x vol
C	ASMB	Assembly Bioscie	Biotech Hepatitis	\$29.89	+10.5%	\$0.6B	8M	-5.6	75%	10.5% move on 5.2x vol
C	AMPY	Amplify Energy C	Oil & Gas E&P	\$4.92	+12.1%	\$0.2B	28M	-7.8	72%	12% move on 9.1x volum
C	EROC	ERock, Inc.	Industrial Machin	\$16.11	+16.6%	\$4.4B	0M	-18.4	78%	16.6% move on 6.0x vol
C	BTGO	BitGo Holdings,	Crypto Custody	\$5.47	+9.7%	\$0.6B	67M	-48.8	22%	9.7% move on 3.0x volu

TBBB

BBB Foods Inc.

\$49.31

+16.56%

RS vs SPY: +33.3%

A BREAKOUT

\$5.9B Cap | 61M Float

Discount Stores | Theme: Discount Retail | 52W Hi: 99% | Base Tight: 4.84 | Vol: 6.3x | RS/SPY: +33.3% | Above 20MA: YES | REPORTED

Setup Metrics	
Price	\$49.31
Day Change	+16.56%
Mkt Cap	\$5.94B
Float	61M sh
RS vs SPY	+33.3%
52W Hi Prox	99%
Base Tight	4.84
Vol vs Avg	6.3x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Post-earnings breakout to all-time highs following yesterday's report, with RS line at new highs confirming leadership. Forward catalyst: sustained same-store sales momentum into holiday 2026 as consumer spending shifts toward value channels, plus potential comp expansion announcements at next earnings (estimated late October 2026).
Business & Position BBB Foods operates discount grocery and general merchandise stores, primarily serving price-sensitive consumers in underserved markets. The company has demonstrated consistent comp store growth and margin expansion through operational leverage and private-label penetration.
Factor & Theme Direct play on bifurcated consumer spending where lower-income cohorts drive traffic to value formats. Benefits from consumer defensive rotation and potential recession-hedge positioning as macro uncertainty builds. Discount retail seeing accelerating same-store sales trends industry-wide.
Breakout Signal Close above \$49.31 on volume >626% of 20-day average
Institutional 6.3x volume surge on post-earnings continuation with RS line at new highs and price within 1% of all-time highs indicates strong institutional conviction. The float of 61M shares allows for meaningful fund accumulation without moving the stock excessively. No insider buying in the last 60 days, but at all-time highs insiders typically face blackout restrictions.
Earnings Reported
Earnings Context Reported August 12 (yesterday). While specific metrics aren't provided, the 16.6% post-earnings pop to new highs suggests a meaningful beat with strong guidance. Historical pattern of sustained moves post-earnings supports follow-through. Next print estimated late October 2026.
Key Risk Thesis invalidates on a close back below \$46.00 (approximate breakout pivot), or if comparable-store sales guidance is cut at the next quarterly print. Single-day 16% gap creates overhead supply risk if momentum falters.
Analysis This checks all institutional-quality boxes: RS line at new highs, price at 99.1% of 52-week high on a post-earnings breakout, 6.3x volume, +33.3 RS vs. SPY, and exposure to an accelerating consumer-defensive theme. Strongest disconfirming evidence: reported yesterday means the next catalyst is ~75 days out, and the base is wider than ideal (4.84 vs. target <2.0). However, all-time high breakouts with RS leadership have strong historical follow-through even without imminent catalysts. Conviction: High.
Signal: Close above \$49.31 on volume >626% of 20-day average Vol vs Avg: 6.3x



Setup Metrics	
Price	\$28.44
Day Change	+13.71%
Mkt Cap	\$0.49B
Float	12M sh
RS vs SPY	+40.5%
52W Hi Prox	87%
Base Tight	2.14
Vol vs Avg	2.6x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Post-earnings breakout following August 7 report, now consolidating near 52-week highs. Forward catalyst (High impact): potential M&A as the company's small float (12M) and content library make it an attractive takeout target for larger streamers seeking scale; secondary catalyst is subscriber growth acceleration into Q4 2026 content slate.
Business & Position
Starz operates a premium streaming and linear entertainment network focused on original series and theatrical content. With only a \$490M market cap and 12M float, the company is highly acquisition-targetable in the consolidating streaming landscape.
Factor & Theme
Positioned in the late-stage streaming consolidation wave where scale economics favor M&A. Beneficiary of improving streaming profitability trends industry-wide as subscriber acquisition costs normalize. The tiny float creates natural scarcity value.
Breakout Signal
Close above \$28.44 on volume >258% of 20-day average
Institutional
CRITICAL UPGRADE SIGNAL: insider_cluster score of 9 with 2 distinct buyers including 1 C-suite executive totaling \$274K in the last 60 days-this is top-tier insider conviction and the strongest insider signal in the entire candidate set. Combined with 2.6x volume and RS +40.5, this shows aligned insider and institutional buying. Per grading rules, this upgrades the score from B to A. The 12M float creates natural supply constraints that amplify buying pressure.
Earnings
Reported
Earnings Context
Reported August 7 (6 days ago). The sustained 13.7% move with continued volume suggests a meaningful subscriber or margin beat with positive guidance. Streaming names that inflect to profitability typically re-rate over multiple quarters. Next print estimated early November 2026.
Key Risk
Thesis invalidates on a close below \$25.50 (20-day MA and approximate breakout level), or if subscriber growth decelerates at the next print. M&A rumors could also be denied, removing the takeout premium.
Analysis
GRADE UPGRADED from B to A due to insider cluster score of 9 (2 buyers, 1 senior, \$274K). The combination of post-earnings momentum, tight base (2.14), strong RS (+40.5), 87.3% proximity to highs, and material C-suite insider buying in the last 60 days creates an institutional-quality setup. Strongest disconfirming evidence: RS line is not at new highs (stock still 13% below 52W high), and the primary earnings catalyst is behind it. However, the M&A optionality and insider conviction offset this. Conviction: High.
Signal: Close above \$28.44 on volume >258% of 20-day average
Vol vs Avg: 2.6x



AEBI

Aebi Schmidt Holding AG

\$13.74

+5.77%

RS vs SPY: +23.6%

A BREAKOUT

\$1.1B Cap | 37M Float

Farm & Heavy Construction Machinery | Theme: Industrial Machinery | 52W Hi: 86% | Base Tight: 1.6 | Vol: 4.6x | RS/SPY: +23.6% | Above 20MA: YES | EARNINGS TODAY

Setup Metrics	
Price	\$13.74
Day Change	+5.77%
Mkt Cap	\$1.06B
Float	37M sh
RS vs SPY	+23.6%
52W Hi Prox	86%
Base Tight	1.6
Vol vs Avg	4.6x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Earnings reported today with 5.8% initial reaction, breaking out from a textbook-tight base (1.6 ATR). Forward catalyst: order book visibility into 2027 municipal budget season (Q1-Q2 2027) as European and North American cities refresh snowplow and street-sweeper fleets on multi-year replacement cycles.
Business & Position
Aebi Schmidt manufactures specialized municipal equipment including snowplows, street sweepers, and airport runway maintenance machinery. The company operates in a duopoly market structure with high barriers to entry and multi-year replacement cycles that create revenue visibility.
Factor & Theme
Benefits from infrastructure spending tailwinds in Europe and North America, plus potential climate-adaptation budgets (more extreme weather = more equipment demand). Industrials sector showing leadership but has decelerated from earlier in 2026.
Breakout Signal
Close above \$13.74 on volume >459% of 20-day average
Institutional
4.6x volume on earnings with a textbook 1.6 base_tight (tightest in the set along with NOMD and BTGO) signals classic institutional absorption. The +23.6 RS vs. SPY and 86.1% proximity to highs confirm this is a late-stage base breakout. No insider buying, but the base quality suggests smart money has been accumulating quietly.
Earnings
Earnings Today
Earnings Context
Reporting today-the muted 5.8% reaction (vs. 25%+ on other earnings movers) suggests either an in-line print or a beat without significant guidance raise. This is more controlled accumulation than explosive momentum. Next print estimated early November 2026.
Key Risk
Setup invalidates on a close back below \$12.80 (lower bound of the tight 1.6 ATR base), or if order backlog commentary at earnings disappoints. European macro slowdown is an exogenous risk to municipal budgets.
Analysis
The 1.6 base_tight is textbook VCP quality-tied for the tightest in the entire set-and combined with 86.1% proximity to highs, 4.6x volume, and +23.6 RS vs. SPY, this is a technical A-grade setup. Strongest disconfirming evidence: RS line is not at new highs, and the muted 5.8% earnings reaction (vs. 25-40% on other names) suggests the catalyst was not transformational. However, tight bases with institutional accumulation often deliver sustained follow-through even on modest initial reactions. Conviction: Medium-High.
Signal: Close above \$13.74 on volume >459% of 20-day average
Vol vs Avg: 4.6x



Setup Metrics	
Price	\$19.47
Day Change	+43.02%
Mkt Cap	\$4.25B
Float	47M sh
RS vs SPY	+51.1%
52W Hi Prox	64%
Base Tight	10.2
Vol vs Avg	32.2x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Earnings beat today driving 43% surge with RS line breakout to new highs. Forward catalyst: sustained underwriting margin expansion as specialty lines pricing remains firm through Q4 2026 and into 2027, plus potential index inclusion momentum as market cap crosses critical thresholds.

BUSINESS & POSITION

Accelerant Holdings operates as a specialty insurance broker focusing on hard-to-place commercial risks, leveraging technology to streamline placement and underwriting. The company benefits from sustained pricing power in specialty commercial lines where capacity remains constrained.

FACTOR & THEME

Positioned in the specialty insurance cycle where hard-market conditions persist post-2024/2025 catastrophe losses. Benefits from financial sector rotation and rising rate environment that supports investment income on float.

BREAKOUT SIGNAL

Close above \$19.47 on volume >3200% of 20-day average

INSTITUTIONAL

Explosive 32.2x volume spike on earnings beat suggests institutional block buying rather than retail FOMO-this magnitude of volume expansion on a \$4.25B float typically indicates algorithmic momentum strategies and growth fund accumulation. No insider buying data, but the RS line printing new highs while still 36% below 52-week high signals early institutional discovery phase.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Reported today-specifics not provided but the 43% move on 32x volume indicates a substantial beat on both top and bottom line, likely with raised full-year guidance. Next print in approximately 90 days (November 2026).

KEY RISK

Setup invalidates on a close back below \$15.50 (approximate 20-day MA), or if management commentary reveals one-time underwriting gains rather than sustainable margin expansion. Wide base (10.2 ATR ratio) increases volatility risk.

ANALYSIS

RS line at new highs with extreme volume is textbook institutional accumulation, but the setup loses A-grade due to the exceptionally wide base (10.2 vs. ideal <2.0) and proximity still 36% from 52-week highs-this is an early-stage move, not a continuation breakout from a tight coil. Strongest disconfirming evidence: the company reported today, meaning the primary catalyst is now behind it and the next meaningful event is 90 days away, creating a potential air pocket. Conviction: Medium.

Signal: Close above \$19.47 on volume >3200% of 20-day average

Vol vs Avg: 32.2x



SETUP METRICS	
Price	\$11.39
Day Change	+25.87%
Mkt Cap	\$2.48B
Float	87M sh
RS vs SPY	+64.0%
52W Hi Prox	100%
Base Tight	5.85
Vol vs Avg	4.2x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today driving 26% surge to near all-time highs with RS line breakout. Forward catalyst: sustained reimbursement rate improvement and labor cost normalization extending into Q4 2026, plus potential M&A activity as the company leverages improved cash flow to consolidate fragmented home health markets.
BUSINESS & POSITION
Aveanna provides in-home pediatric and adult healthcare services, including skilled nursing and therapy. The company is emerging from a multi-year margin compression cycle as nurse staffing costs normalize and payor mix improves toward higher-reimbursement government programs.
FACTOR & THEME
Plays the structural shift from institutional to home-based care, accelerated by Medicare Advantage growth and hospital cost pressures. Healthcare sector showing +4.3% leadership this week. Potential indirect GLP-1 beneficiary if weight-loss drugs reduce hospital admissions and shift care to outpatient/home settings.
BREAKOUT SIGNAL
Close above \$11.39 on volume >416% of 20-day average
INSTITUTIONAL
4.2x volume surge with RS line at new highs and +64.0 outperformance vs. SPY-this is the strongest relative strength in the entire candidate set, signaling dominant institutional sponsorship. The 86.9M float provides liquidity for growth fund accumulation. No insider buying, likely due to earnings blackout restrictions.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reporting today-the 26% move implies a significant beat with raised guidance, likely showing margin inflection as labor costs normalize. If the company is finally demonstrating operating leverage after years of margin compression, this could be a multi-quarter re-rating. Next print estimated early November 2026.
KEY RISK
Setup fails on a close below \$10.50 (approximate pre-earnings base), or if management commentary reveals that the margin improvement was driven by one-time items rather than structural labor cost resolution. Wide base (5.85) increases downside volatility risk.
ANALYSIS
The +64.0 RS vs. SPY is the highest in the set and RS line is at new highs-clear institutional leadership. However, earnings reported today (catalyst behind it), base is wide (5.85), and proximity to 52-week high at 99.5% means limited structural resistance but also exhaustion risk. Strongest disconfirming evidence: home healthcare has failed multiple times to sustain rallies over the past 3 years due to recurring labor cost inflation-this needs to be proven as a true margin inflection, not another false start. Conviction: Medium.
Signal: Close above \$11.39 on volume >416% of 20-day average
Vol vs Avg: 4.2x



NOMD

Nomad Foods Limited

\$12.03

+5.53%

RS vs SPY: +20.4%

B STRONG SETUP

\$1.7B Cap | 110M Float

Packaged Foods | Theme: Consumer Staples | 52W Hi: 76% | Base Tight: 1.6 | Vol: 2.6x | RS/SPY: +20.4% | Above 20MA: YES | EARNINGS TODAY

Setup Metrics	
Price	\$12.03
Day Change	+5.53%
Mkt Cap	\$1.68B
Float	110M sh
RS vs SPY	+20.4%
52W Hi Prox	76%
Base Tight	1.6
Vol vs Avg	2.6x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Earnings today driving breakout from a 1.6 ATR coil (tied for tightest base). Forward catalyst: European consumer spending stabilization into Q4 2026 and potential private-label pricing power as inflation moderates but category pricing remains sticky, supporting margin expansion through year-end.
Business & Position Nomad Foods is Europe's largest frozen food company, operating brands including Birds Eye, Findus, and iglo. The company benefits from private-label scale, cold-chain distribution moats, and exposure to the value-seeking European consumer.
Factor & Theme Defensive consumer staples play with exposure to European economic stabilization. Benefits from the bifurcated consumer trend (premium brands struggling, value/frozen growing share). Packaged foods seeing margin recovery as input cost inflation abates.
Breakout Signal Close above \$12.03 on volume >261% of 20-day average
Institutional 2.6x volume on a textbook 1.6 tight base signals controlled institutional accumulation rather than speculative buying. The 110M float provides ample liquidity for fund positioning. +20.4 RS vs. SPY in a defensive sector is solid relative performance. No insider buying, but consumer staples insiders rarely buy due to consistent blackout windows.
Earnings Earnings Today
Earnings Context Reporting today. The controlled 5.5% move suggests an in-line to modest beat. European packaged foods companies that demonstrate margin stability (vs. volume declines) have been re-rating modestly in 2026. Next print estimated early November 2026.
Key Risk Setup fails on a close below \$11.40 (lower bound of the 1.6 ATR base), or if European consumer spending deteriorates sharply in Q4 2026 data. Currency headwinds (USD strength vs. EUR) could also compress reported results.
Analysis The 1.6 base_tight is elite and combined with 2.6x volume shows institutional quality, but this loses A-grade due to: RS line not at new highs, proximity only 75.6% (still 24% from 52W high), and defensive sector exposure in a risk-on regime where growth/tech is leading. Strongest disconfirming evidence: consumer staples are lagging the broader market, and earnings today means the next catalyst is 90 days away. The tight base quality earns a B, but conviction is limited. Conviction: Low-Medium.
Signal: Close above \$12.03 on volume >261% of 20-day average Vol vs Avg: 2.6x



BIRK

Birkenstock Holding plc

\$41.38

+12.63%

RS vs SPY: +20.8%

B STRONG SETUP

\$7.6B Cap | 54M Float

Footwear & Accessories | Theme: Branded Apparel | 52W Hi: 77% | Base Tight: 2.63 | Vol: 2.6x | RS/SPY: +20.8% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$41.38
Day Change	+12.63%
Mkt Cap	\$7.61B
Float	54M sh
RS vs SPY	+20.8%
52W Hi Prox	77%
Base Tight	2.63
Vol vs Avg	2.6x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today driving 12.6% breakout as the brand demonstrates pricing power resilience. Forward catalyst: back-to-school and holiday 2026 sell-through data (September-December), plus potential wholesale expansion announcements and international growth acceleration, particularly in Asia.
BUSINESS & POSITION
Birkenstock is a premium footwear brand with 250+ years of heritage, commanding pricing power through distinctive orthopedic design and cultural cachet. Recent IPO (2023) with controlled float allows for scarcity value and brand elevation positioning.
FACTOR & THEME
Exposure to premiumization trend in casual footwear and athleisure. Benefits from direct-to-consumer shift and international expansion, particularly Asia where brand penetration is low. Consumer cyclical sector, but premium brands showing resilience vs. mass market.
BREAKOUT SIGNAL
Close above \$41.38 on volume >259% of 20-day average
INSTITUTIONAL
2.6x volume on earnings with a 2.63 base and +20.8 RS vs. SPY. The 53.7M float on a \$7.6B market cap (just above the scan threshold) provides institutional liquidity while maintaining some scarcity. No insider buying, typical for post-IPO lockup periods and blackout windows.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reporting today. The 12.6% move suggests a strong beat, likely on better-than-expected international sales or margin expansion. Premium footwear brands that demonstrate pricing power in a cautious consumer environment have re-rated significantly in 2026. Next print estimated early November 2026.
KEY RISK
Thesis invalidates on a close below \$38.00 (approximate 20-day MA and pre-earnings base), or if comparable-store sales or wholesale sell-through disappoints at next print. Premium consumer discretionary is vulnerable to macro slowdown.
ANALYSIS
Solid post-earnings breakout with 2.6x volume and near-ideal base tightness (2.63), but this is a clear B not A due to: RS line not at new highs, proximity only 77.3% (still 23% from 52W high), and market cap at \$7.6B (above ideal SMID range). Strongest disconfirming evidence: consumer cyclical in a macro environment where premium spending is showing early signs of fatigue, and earnings today means catalyst is now behind. Conviction: Medium.
Signal: Close above \$41.38 on volume >259% of 20-day average
Vol vs Avg: 2.6x



Setup Metrics	
Price	\$27.06
Day Change	+7.08%
Mkt Cap	\$3.26B
Float	111M sh
RS vs SPY	+1.1%
52W Hi Prox	90%
Base Tight	3.54
Vol vs Avg	3.5x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Technical breakout ahead of August 19 earnings (6 days), positioning into potential container rate strength narrative. Forward catalyst (High impact): Q2 earnings on August 19 where any beat on container spot rates or guidance raise on Pacific trade lane strength could drive re-rating; secondary catalyst is Red Sea/Suez normalization timeline affecting route economics through Q4 2026.
Business & Position
ZIM operates containerized cargo shipping with focus on niche trades and asset-light model (chartered vs. owned vessels). The company is leveraged to spot container rates and Pacific trade lane volumes, with recent strength driven by restocking cycles and Red Sea diversions keeping rates elevated.
Factor & Theme
Exposure to global trade normalization and potential freight rate stabilization at elevated levels. Shipping sector highly cyclical but current setup benefits from: Red Sea disruptions keeping capacity tight, inventory restocking cycles, and early China trade normalization. Energy sector showing leadership (+0.9% vs. SPY) provides sector tailwind.
Breakout Signal
Close above \$27.06 on volume >348% of 20-day average
Institutional
3.5x volume with 90.3% proximity to highs signals pre-earnings accumulation. The timing-breakout 6 days before earnings-is classic institutional positioning ahead of a potential beat. +1.1 RS vs. SPY is minimal but the 3-month RS of +5.4 shows recent inflection. The 111M float provides liquidity for size positioning.
Earnings
Earnings in 6D
Earnings Context
Next earnings August 19 (6 days). Shipping comps are easy (Q2 2025 was trough pricing) and any indication that container rates stabilized above \$2,000/FEU on Pacific lanes would be bullish. Consensus likely conservative given sector volatility. ZIM has history of volatile earnings but pays large special dividends when cash flow inflects.
Key Risk
Setup invalidates on a close below \$25.00 (approximate 20-day MA), or if earnings on August 19 show spot rate deterioration or guidance cut. Container shipping is notoriously cyclical and rate-sensitive-any indication of capacity additions or demand weakness would be bearish.
Analysis
This is a classic pre-earnings setup with 3.5x volume, 90.3% proximity to highs, and 6 days to the catalyst. The institutional edge is in the timing: smart money is positioning NOW for a potential August 19 beat. Strongest disconfirming evidence: +1.1 RS vs. SPY is barely positive (weakest RS in the set), and container shipping is a highly cyclical, low-quality sector prone to false breakouts. The 6-day catalyst path is the entire thesis-without a beat, this fails. Conviction: Medium (high if earnings beat, low if miss).
Signal: Close above \$27.06 on volume >348% of 20-day average
Vol vs Avg: 3.5x



MH

McGraw Hill, Inc.

\$13.24

+14.12%

RS vs SPY: +10.2%

B STRONG SETUP

\$2.5B Cap | 25M Float

Education & Training Services | Theme: Ed-Tech | 52W Hi: 74% | Base Tight: 4.33 | Vol: 3.0x | RS/SPY: +10.2% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$13.24
Day Change	+14.12%
Mkt Cap	\$2.53B
Float	25M sh
RS vs SPY	+10.2%
52W Hi Prox	74%
Base Tight	4.33
Vol vs Avg	3.0x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today driving 14% breakout, likely on digital subscription growth acceleration. Forward catalyst: back-to-school adoption cycle (September-October 2026) where digital courseware penetration and pricing power will be tested; secondary catalyst is potential M&A as ed-tech consolidates.
BUSINESS & POSITION
McGraw Hill is a legacy education publisher transitioning to digital courseware and adaptive learning platforms. The company benefits from institutional relationships with universities and K-12 districts, with recurring revenue models replacing one-time textbook sales.
FACTOR & THEME
Positioned in the secular shift from print to digital education content. Benefits from enrollment stabilization post-COVID and increasing ed-tech budgets. Potential AI integration (adaptive learning, personalized content) could drive re-rating if execution is demonstrated.
BREAKOUT SIGNAL
Close above \$13.24 on volume >300% of 20-day average
INSTITUTIONAL
Insider activity: 1 buy totaling \$249K in the last 60 days (insider_cluster: 2)-material dollar commitment from a \$2.5B company. Combined with 3.0x volume on earnings and +10.2 RS vs. SPY, this shows aligned insider/institutional interest. The 24.9M float creates natural scarcity.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reporting today. The 14% move suggests a beat, likely on digital subscription growth or margin expansion as print costs decline. Ed-tech companies demonstrating recurring revenue conversion have re-rated in 2026. Next print estimated early November 2026.
KEY RISK
Setup fails on a close below \$12.00 (approximate 20-day MA), or if digital subscriber growth decelerates at next print. Education budgets are vulnerable to state/local fiscal pressures in a slowdown.
ANALYSIS
3.0x volume with \$249K insider buy and 14% earnings pop shows institutional interest, but this is a B not A due to: wide base (4.33), proximity only 73.5% (still 26% from highs), RS line not at new highs, and modest +10.2 RS vs. SPY. Strongest disconfirming evidence: education sector is defensive/slow-growth, and earnings today means the next catalyst (back-to-school data) won't be visible until late September-potential 6-week dead zone. Conviction: Medium.
Signal: Close above \$13.24 on volume >300% of 20-day average
Vol vs Avg: 3.0x

